

ATHI RIVER MINING LIMITED

FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2002

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ATHI RIVER MINING LIMITED

Directors and Corporate information

Directors

Mr B Rogers	-	Chairman
Mr H J Paunrana	-	Vice-Chairman
Mr P H Paunrana	-	Managing
Mr S L Bhatia*	-	Commercial
Mr W Murungi		
Mr P J Rune		
The Acacia Fund Limited		
Bamburi Cement Limited		

* Indian

Audit committee

Mr B Rogers
Mr W Murungi
The Acacia Fund Limited

Secretary

Mr R R Vora
Marakwet House
P O Box 48405
00100 GPO
Nairobi

Registered Office

L R 209/74/7/2, Chiromo Road
Westlands
P O Box 41908
00100 GPO
Nairobi

Auditors

Deloitte & Touche
"Kirungii", Ring Road, Westlands
P O Box 40092
00100 GPO
Nairobi

Bankers

Barclays Bank of Kenya Limited
Barclays Plaza Branch
P O Box 46661
00100 GPO
Nairobi

Credit Agricole Indosuez
P O Box 69562
00400
Nairobi

Stanbic Bank Kenya Limited
Kenyatta Avenue
P O Box 30550
00100 GPO
Nairobi

Advocates

Walker Kontos
George Williamson House
P O Box 60680
Nairobi

Report of the directors

The directors present their report together with the audited financial statements for the year ended 31 December 2002.

Activities

The principal activities of the company are the manufacture and sale of cement, mining and processing of industrial minerals and chemicals, and trading in other building products.

Results

	Sh'000
Profit before taxation	82,136
Taxation	(24,746)
Net profit for the year	57,390

Dividends

An interim dividend of Sh 0.30 per share was paid by the directors on the paid up share capital on 29 May 2002. The directors propose a final dividend of Sh 0.10 per share in respect of the year. The total dividend in respect of the year amounted to Sh 0.40 per share.

Directors

The directors who held office during the year are shown on page 2.

In accordance with the Article 95 of the Company's Article of Association, P J Runo retires by rotation and, being eligible, offers himself for re-election.

Auditors

Deloitte & Touche, having expressed their willingness, continue in office in accordance with section 159 (2) of the Companies Act.

By order of the Board

Secretary

Nairobi

2003

ATHI RIVER MINING LIMITED

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the company as at the end of the financial year and of the operating results of the company for that year. It also requires the directors to ensure the company keeps proper accounting records which disclose with reasonable accuracy at any time the financial position of the company. They are also responsible for safeguarding the assets of the company.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the company and of its operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company will not remain a going concern for at least the next twelve months from the date of this statement.

Director

Director

2003

Certified Public Accountants (Kenya)
"Kirungii",
Ring Road, Westlands
P.O. Box 40092
Nairobi - 00100 GPO
Kenya

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**Deloitte
& Touche**

REPORT OF THE AUDITORS TO THE MEMBERS OF ATHI RIVER MINING LIMITED

We have audited the financial statements on pages 6 to 23 and have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purposes of our audit.

Respective responsibilities of directors and auditors

As described on page 4, the directors are responsible for the preparation of the financial statements. Our responsibility is to express an opinion on those financial statements based on our audit.

Basis of opinion

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements, assessing the accounting principles used and significant estimates made by the directors, and evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

Opinion

In our opinion, proper books of account have been kept by the company and the financial statements, which are in agreement therewith, give a true and fair view of the state of affairs of the company at 31 December 2002 and of its profit and cashflows for the year then ended in accordance with International Financial Reporting Standards and comply with the Companies Act.

Nairobi

2003

ATHI RIVER MINING LIMITED

INCOME STATEMENT
FOR THE YEAR ENDED 31 DECEMBER 2002

	Note	2002 Sh'000	2001 (restated) Sh'000
TURNOVER		1,126,385	883,740
COST OF SALES		(776,279)	(602,093)
GROSS PROFIT		350,106	281,647
OTHER OPERATING INCOME		465	2,643
DISTRIBUTION COSTS		(132,239)	(108,620)
ADMINISTRATIVE EXPENSES		(116,769)	(98,669)
OTHER OPERATING EXPENSES		(605)	(1,746)
OPERATING PROFIT	3	100,958	75,255
FINANCE COSTS (NET)	4	(18,822)	(24,228)
PROFIT BEFORE TAXATION		82,136	51,027
TAXATION	6	(24,746)	(17,222)
NET PROFIT FOR THE YEAR		57,390	33,805
BASIC EARNINGS PER SHARE	7	Sh 0.62	Sh 0.40

ATHI RIVER MINING LIMITED

BALANCE SHEET 31 DECEMBER 2002

	Note	2002 Sh'000	2001 (restated) Sh'000
ASSETS			
Non current assets			
Property, plant and equipment	8	910,926	858,666
Operating lease prepayments	9	2,484	2,551
Deferred expenditure	10	9,856	14,784
		<u>923,266</u>	<u>876,001</u>
Current assets			
Inventories	11	236,607	185,679
Trade and other receivables	12	253,113	193,891
Cash and bank balances		2,168	5,222
		<u>491,888</u>	<u>384,792</u>
Total assets		<u><u>1,415,154</u></u>	<u><u>1,260,793</u></u>
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	13	465,000	465,000
Share premium		241,477	241,477
Capital reserve		100,599	99,968
Revenue reserve		46,426	26,867
Proposed dividends		9,300	-
		<u>862,802</u>	<u>833,312</u>
Non current liabilities			
Borrowings	14	20,833	-
Deferred income taxes	15	155,932	148,529
		<u>176,765</u>	<u>148,529</u>
Current liabilities			
Trade and other payables	16	280,458	160,032
Borrowings	14	76,763	109,970
Compensating tax payable		221	7,998
Current tax payable		17,343	-
Unclaimed dividends		802	952
		<u>375,587</u>	<u>278,952</u>
Total equity and liabilities		<u><u>1,415,154</u></u>	<u><u>1,260,793</u></u>

The financial statements on pages 6 to 23 were approved by the board of directors on
and were signed on its behalf by:

2003

)
) Directors
)

STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2002

	Share capital Sh'000	Share Premium Sh'000	Convertible bond Sh'000	Capital reserve Sh'000	Revenue reserve Sh'000	Proposed dividends Sh'000	Total Sh'000
At 1 January 2001 as previously reported	375,000	154,947	189,000	104,771	13,992	-	837,710
Prior year adjustments:							
Reversal of revaluation surplus on leasehold land	-	-	-	(7,293)	-	-	(7,293)
Deferred taxation thereon	-	-	-	2,187	-	-	2,187
Reversal of excess amortisation and deferred tax	-	-	-	(273)	911	-	638
Depreciation on buildings previously not charged	-	-	-	-	(5,238)	-	(5,238)
Deferred tax thereon	-	-	-	-	1,571	-	1,571
As restated	375,000	154,947	189,000	99,392	11,236	-	829,575
Bond converted into shares	90,000	90,000	(180,000)	-	-	-	-
Convertible bond 5% interest cost refund	-	-	(9,000)	-	9,000	-	-
Convertible bond transaction costs	-	(3,470)	-	-	-	-	(3,470)
Deferred tax on revaluation	-	-	-	576	(576)	-	-
Net profit for the year	-	-	-	-	33,805	-	33,805
Interim dividend paid	-	-	-	-	(18,600)	-	(18,600)
Compensating tax	-	-	-	-	(7,998)	-	(7,998)
At 31 December 2001	<u>465,000</u>	<u>241,477</u>	<u>-</u>	<u>99,968</u>	<u>26,867</u>	<u>-</u>	<u>833,312</u>
At 1 January 2002 (as previously reported)	465,000	241,477	-	105,402	31,660	-	843,539
Prior year adjustments:							
Reversal of revaluation surplus on leasehold land	-	-	-	(7,293)	-	-	(7,293)
Deferred tax thereon	-	-	-	2,187	-	-	2,187
Reversal of excess amortisation and deferred tax thereon	-	-	-	(328)	1,094	-	766
Depreciation on building not previously charged	-	-	-	-	(6,285)	-	(6,285)
Deferred tax thereon	-	-	-	-	1,886	-	1,886
Deferred tax underprovision	-	-	-	-	(1,488)	-	(1,488)
As restated	465,000	241,477	-	99,968	26,867	-	833,312
Deferred tax on revaluation	-	-	-	631	(631)	-	-
Net profit for the year	-	-	-	-	57,390	-	57,390
Interim dividend paid	-	-	-	-	(27,900)	-	(27,900)
Proposed dividends	-	-	-	-	(9,300)	9,300	-
At 31 December 2002	<u>465,000</u>	<u>241,477</u>	<u>-</u>	<u>100,599</u>	<u>46,426</u>	<u>9,300</u>	<u>862,802</u>

The effect of change in policy on accounting for leasehold land and buildings to ensure compliance with International Accounting Standards No. 17 on leases and No. 16 on property, plant and equipment has resulted in the reclassification of leasehold land from property and equipment to operating lease prepayments, the reversal of revaluation surplus relating to leasehold land and the recognition of prior years depreciation charge on buildings not accounted for in the past.

ATHI RIVER MINING LIMITED

CASH FLOW STATEMENT
FOR THE YEAR ENDED 31 DECEMBER 2002

	Note	2002 Sh'000	2001 Sh'000
Operating activities			
Cash generated from operations	17(a)	176,518	122,620
Interest paid		(18,527)	(24,010)
Compensating tax paid		(7,777)	-
Net cash generated from operating activities		150,214	98,610
Investing activities			
Purchase of property, plant and equipment		(112,539)	(51,402)
Deferred expenditure		-	(390)
Proceeds from disposal of property, plant and equipment		350	3,686
Net cash used in investing activities		(112,189)	(48,106)
Financing activities			
Finance lease instalment payments		-	(1,567)
Loans received	17(c)	90,000	51,498
Repayment of amounts borrowed	17(c)	(68,721)	(38,030)
Dividends paid		(28,050)	(18,146)
Net cash used in financing activities		(6,771)	(6,245)
Increase in cash and cash equivalents		31,254	44,259
At 1 January		(49,182)	(93,441)
At 31 December	17(b)	<u>(17,928)</u>	<u>(49,182)</u>

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2002

1 ACCOUNTING POLICIES

The financial statements have been prepared in accordance with International Financial Reporting Standards. The principal accounting policies adopted are set out below.

Basis of accounting

The company prepares its financial statements under the historical cost convention, modified to include the revaluation of certain assets.

Revenue recognition

Revenue is recognised upon delivery of goods to customers and represents sales net of value added tax.

Taxation

Current taxation is provided on the basis of the results for the year, as shown in the financial statements, adjusted in accordance with tax legislation.

Deferred income tax is provided, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred income tax.

Property, plant and equipment

Property, plant and equipment are stated at cost or valuation less depreciation.

Depreciation

No depreciation is provided on freehold land.

Depreciation is calculated to write off the cost or valuation of other property, plant and equipment in equal annual instalments over their estimated useful lives. The annual rates in use are:

Buildings	2.5%
Heavy commercial vehicles and quarrying equipment	10%
Plant, machinery and equipment	5% to 7.5%
Motor vehicles	10%
Furniture and fittings	7.5%
Computer hardware	20%

Operating lease prepayments

The company has implemented fully the requirements of IAS 17 on accounting for leases in the current year financial statements. Under this standard, cost of acquiring leasehold land are treated as operating lease prepayments and amortised over the lease period. This has resulted in the reclassification of leasehold land from property, plant and equipment to operating prepaid rentals within the balance sheet. The change in policy has been applied retrospectively and comparative figures restated accordingly.

Capital work in progress

Capital work in progress relates to property and plant under construction. Cost includes materials, direct labour and any other direct expenses incurred in respect of the project. The amounts are transferred to the appropriate property and plant categories once the project is completed and commissioned.

Deferred expenditure

Expenditure incurred in developing new products are deferred and written off over a period of 4 years.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

1 Accounting policies (continued)

Inventories

Finished goods inventories are stated at the lower of cost and net realisable value. Cost comprises direct production costs, rents, royalties, labour and relevant transport costs. Work in progress comprises raw materials, direct labour, other direct costs and related production overheads.

Raw materials and other inventories are stated at purchase cost while spares inventories are stated at the lower of cost and directors' valuation. Directors' valuation is based on replacement cost values.

Leases

Assets held under finance leases and hire purchase contracts are capitalised at their fair values on the inception of the leases and depreciated over their estimated useful lives. The finance charges are allocated over the period of the lease in proportion to the capital amount outstanding.

Rental payments in respect of operating leases are charged to the income statement in the period to which they relate.

Foreign currencies

Assets and liabilities expressed in foreign currencies are translated into Kenya Shillings at the rates of exchange ruling at the balance sheet date. Transactions during the year are translated at the rates ruling at the dates of the transactions. Gains and losses on exchange are dealt with in the income statement.

Pension obligations

The company contributes to the statutory National Social Security Fund. This is a defined contribution scheme registered under the National Social Security Act. The company's obligations under the scheme are limited to specific contributions legislated from time to time and were fixed at Sh 200 per employee. The company's contributions are charged to the income statement in the year to which they relate.

Provision for liabilities and charges

Employees' entitlements to annual leave are recognised when they accrue to employees. Provision is made for the estimated liability in respect of annual leave accrued on the balance sheet date.

Segment reporting

Segmental information is based on the primary format representing two business segments, cement and minerals and chemicals.

Segment results include revenue and expenses directly attributable to a segment.

Segment assets and liabilities comprise those operating assets and liabilities that are directly attributable to the segment or can be allocated to the segment on a reasonable basis.

Capital expenditure represents the total cost incurred during the year to acquire segment assets that are expected to be used during more than one period (property, plant and equipment).

Financial instruments

Financial assets

Financial assets are recognised initially at cost using settlement date accounting. Loans and receivables originated by the bank and held to maturity investments are subsequently measured at amortised cost while financial assets held for trading and available for sale are measured at fair value. Gains or losses on changes in fair value of each category of asset is reported net in the income statement in the year in which it arises. All financial assets are subject to review for impairment at the year end.

Financial liabilities

Financial liabilities are recognised initially at cost, and subsequently measured at amortised cost.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

1 Accounting policies (continued)**Impairment**

At each balance sheet date, the company reviews the carrying amounts of its financial assets, tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the asset's recoverable amount of the asset is estimated and an impairment loss is recognized in the income statement whenever the carrying amount of the asset exceeds its recoverable amount.

Subsidiary company

The company has registered a subsidiary in Tanzania, Athi River Mining (T) Ltd. Production has not commenced and the subsidiary remained dormant during the year. Consequently, no consolidated financial statements have been prepared. The cost of development of the factory amounting to Sh 59,700,000 is included in property, plant and equipment.

Comparatives

Where necessary, comparative figure have been adjusted to conform with changes in presentation in the current year. In particular comparative figures have been adjusted for change in presentation to ensure compliance with International Accounting Standard No. 17 on Leases and No. 16 on property, plant and equipment.

2 Segmental reporting**(a) Primary reporting format – Business segments**

	CEMENT AND SPECIAL PRODUCTS		MINERALS AND CHEMICALS		TOTAL	
	2002 Sh'000	2001 Sh'000	2002 Sh'000	2001 Sh'000	2002 Sh'000	2001 Sh'000
Sales & other income	724,979	606,274	401,871	280,109	1,126,850	886,383
Expenditure	672,386	569,529	372,328	265,827	1,044,714	835,356
	=====	=====	=====	=====	=====	=====
Profit before taxation	52,593	36,745	29,543	14,282	82,136	51,027
Taxation	(15,332)	(14,730)	(9,414)	(2,492)	(24,746)	(17,222)
	=====	=====	=====	=====	=====	=====
Profit after taxation	37,261	22,015	20,129	11,790	57,390	33,805
	=====	=====	=====	=====	=====	=====
Assets	905,910	798,941	509,244	461,852	1,415,154	1,260,793
Liabilities	368,095	259,331	184,257	168,150	552,352	427,481
Depreciation and amortisation	32,448	31,510	27,415	26,804	59,863	58,314
Capital expenditure	1,791	17,762	69,954	14,547	71,745	32,309
	=====	=====	=====	=====	=====	=====

(b) Secondary reporting format – Geographical segments

75% (2001- 85%) of the company's sales are made in the local market (Kenya).

ATHI RIVER MINING LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2002 Sh'000	2001 Sh'000
Operating profit		
The operating profit is arrived at after charging:		
Depreciation and amortisation	59,863	57,450
Operating lease rentals – property	1,800	1,800
Directors' emoluments:		
Fees	1,776	1,776
Other emoluments	16,443	12,947
Staff costs (Note 5)	84,655	82,412
Auditors' remuneration	1,145	1,151
Loss on disposal of motor vehicles	133	516
	<u>=====</u>	<u>=====</u>
4 Finance costs (net)		
Interest payable:		
- Loans	13,066	7,544
- Bank overdrafts	5,223	12,263
- Finance leases	-	157
- Commercial paper	238	296
- Convertible bond	-	3,750
	<u>-----</u>	<u>-----</u>
	18,527	24,010
	<u>-----</u>	<u>-----</u>
Exchange adjustment:		
- unrealised losses	655	285
- realised gains	(360)	(67)
	<u>-----</u>	<u>-----</u>
	295	218
	<u>-----</u>	<u>-----</u>
	<u>=====</u>	<u>=====</u>
	18,822	24,228

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2002 Sh'000	2001 Sh'000
5 Staff costs		
Wages and salaries	82,416	80,228
Social security cost (NSSF)	1,036	1,019
Termination benefits	371	1,021
Leave pay	832	144
	<u>84,655</u>	<u>82,412</u>
Executive directors	16,443	12,947
	<u>101,098</u>	<u>95,359</u>
The average number of staff employed by the company during the year was:	No.	No.
Full time	328	201
Part time	280	402
	<u>608</u>	<u>603</u>
6 Taxation	Sh'000	Sh'000
(a) Tax expense		
Current taxation based on adjusted profit at 30%	17,343	-
Deferred tax expense (note 15)	7,403	17,222
	<u>24,746</u>	<u>17,222</u>
(b) Reconciliation of tax based on accounting profit to tax expense		
Accounting profit before taxation	82,136	51,027
Tax at the applicable rate of 30%	24,640	15,308
Tax effect of expenses not deductible for tax purposes	1,584	2,317
Tax effect of income not taxable	(1,478)	(403)
	<u>24,746</u>	<u>17,222</u>

7 Basic earnings per share

Basic earnings per share has been calculated on the profit after taxation of Sh 57,390,000 (2001 - Sh 33,805,000) divided by the average number of shares in issue during the year of 93,000,000 (2001- 85,500,000). Diluted earnings per share is the same as basic earnings per share. The comparative earnings per share has been computed using the average number of shares in issue last year.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2002 Sh'000	2001 Sh'000
5 Staff costs		
Wages and salaries	82,416	80,228
Social security cost (NSSF)	1,036	1,019
Termination benefits	371	1,021
Leave pay	832	144
	<u>84,655</u>	<u>82,412</u>
Executive directors	16,443	12,947
	<u>101,098</u>	<u>95,359</u>
	No.	No.
The average number of staff employed by the company during the year was:		
Full time	328	201
Part time	280	402
	<u>608</u>	<u>603</u>
	Sh'000	Sh'000
6 Taxation		
(a) Tax expense		
Current taxation based on adjusted profit at 30%	17,343	-
Deferred tax expense (note 15)	7,403	17,222
	<u>24,746</u>	<u>17,222</u>
(b) Reconciliation of tax based on accounting profit to tax expense		
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Tax effect of expenses not deductible for tax purposes	1,584	2,317
Tax effect of income not taxable	(1,478)	(403)
	<u>24,746</u>	<u>17,222</u>

7 Basic earnings per share

Basic earnings per share has been calculated on the profit after taxation of Sh 57,390,000 (2001 - Sh 33,805,000) divided by the average number of shares in issue during the year of 93,000,000 (2001- 85,500,000). Diluted earnings per share is the same as basic earnings per share. The comparative earnings per share has been computed using the average number of shares in issue last year.

ATHI RIVER MINING LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

8 Property, plant and equipment

	Freehold land and Buildings Sh'000	Leasehold land and buildings Sh'000	Heavy commercial vehicles and quarrying equipment Sh'000	Computer hardware plant, machinery, motor vehicles, furniture and fittings Sh'000	Capital work in progress Sh'000	Total Sh'000
Cost or valuation						
At 1 January 2002	65,848	171,497	143,150	723,735	73,875	1,178,105
Reclassification(note 9)	-	(10,000)	-	-	-	(10,000)
At 1 January as restated	65,848	161,497	143,150	723,735	73,875	1,168,105
Additions	386	93	6,429	9,808	95,823	112,539
Disposals	-	-	-	(500)	-	(500)
Transfers	2,974	-	-	15,901	(18,875)	-
At 31 December 2002	69,208	161,590	149,579	748,944	150,823	1,280,144
Comprising						
At cost	18,275	4,198	131,571	618,889	150,823	923,756
At valuation 1992	-	-	18,008	18,819	-	36,827
At valuation 1994	-	-	-	111,236	-	111,236
At valuation 1996	50,933	157,392	-	-	-	208,325
	69,208	161,590	149,579	748,944	150,823	1,280,144
Depreciation						
At 1 January 2002	-	21,081	72,227	211,096	-	304,404
Adjustment for prior year underprovision	6,285	-	-	-	-	6,285
Reclassification(note 9)	-	(1,250)	-	-	-	(1,250)
At 1 January 2002 (as restated)	6,285	19,831	72,227	211,096	-	309,439
Charge for the year	1,047	4,040	14,625	40,084	-	59,796
Eliminated on disposals	-	-	-	(17)	-	(17)
At 31 December 2002	7,332	23,871	86,852	251,163	-	369,218
Net book value						
At 31 December 2002	61,876	137,719	62,727	497,781	150,823	910,926
At 31 December 2001 as restated	59,563	141,666	70,923	512,639	73,875	858,666
Historical cost net book value						
At 31 December 2002	30,468	55,614	55,688	439,024	150,823	731,617
At 31 December 2001 as restated	27,192	58,321	63,884	453,899	73,875	677,171

Leasehold land has been reclassified to operating lease prepayments and related revaluation surplus reversed in line with the requirements of International Accounting Standard No 17 as disclosed on note 9.

The capital work in progress includes Sh 59,700,000 relating to the on-going construction of the Tanga Lime project.

The company assets are pledged to secure credit facilities with various banks as disclosed in note 14.

ATHI RIVER MINING LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

9 OPERATING LEASE PREPAYMENTS

	Sh'000
COST	
Reclassification from property, plant and equipment (Note 8)	10,000
Reversal of revaluation surplus	(7,293)
Restated as at 1 January 2001 and at 31 December 2002	2,707
AMORTISATION	
Reclassification from property, plant and equipment (Note 8)	1,250
Reversal of excess amortisation	(1,094)
Restated at 1 January 2001	156
Amortisation for the year	67
At 31 December 2002	223
NET BOOK VALUE	
At 31 December 2002	2,484
At 31 December 2001 (restated)	2,551

Leasehold land has been reclassified from property, plant and equipment to operating lease prepayments and related revaluation surplus reversed in line with the requirements of International Accounting Standards No 17.

ATHI RIVER MINING LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2002 Sh'000	
10 Deferred expenditure		
At 1 January 2002	14,784	
Additions	-	
At 31 December 2002	14,784	
Amortisation:		
At 1 January 2002	-	
Charge for the year	4,928	
At 31 December 2002	4,928	
Net book value at 31 December 2002	9,856	
Net book value at 31 December 2001	14,784	
Expenditure incurred in developing new products are deferred and written off over a period 4 years.		
	2002 Sh'000	2001 Sh'000
11 Inventories		
Raw materials	120,043	47,696
Work in progress	27,271	29,434
Finished goods	37,555	50,943
Stores, spares and laboratory	45,738	57,606
	236,607	185,679
12 Trade and other receivables		
Trade receivables	237,580	177,803
Other receivables	12,342	9,165
Prepayments	3,191	6,923
	253,113	193,891

ATHI RIVER MINING LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

		2002 Sh'000	2001 Sh'000
13	Share capital		
	Authorised: 94,000,000 ordinary shares of Sh 5 each	<u>470,000</u>	<u>470,000</u>
	Issued and fully paid: 93,000,000 (2001 – 93,000,000) ordinary shares of Sh 5 each	<u>465,000</u>	<u>465,000</u>
		2002	2001
		Number of shares	Number of shares
		Sh'000	Sh'000
	At 1 January	93,000	75,000
	Bond converted into shares	-	18,000
		<u>93,000</u>	<u>93,000</u>
	At 31 December	<u>93,000</u>	<u>93,000</u>
14	Borrowings		
	Bank overdrafts	16,231	54,404
	Bank loans	77,500	52,962
	Directors' loans	-	2,604
	Commercial paper	3,865	-
		<u>97,596</u>	<u>109,970</u>
	The borrowings are repayable as follows:		
	On demand or within one year	76,763	109,970
	In the second year	10,417	-
	After 2 years	10,416	-
		<u>97,596</u>	<u>109,970</u>
	Less: amounts due for settlement within one year	<u>76,763</u>	<u>109,970</u>
	Amount due for settlement after one year	<u>20,833</u>	<u>-</u>

NOTES TO THE FINANCIAL STATEMENTS (Continued)

14 Borrowings (Continued)

Analysis of borrowing by currency

	Borrowings in US\$	Kshs equivalent Sh'000	Borrowing in local currency Sh'000	Total Borrowing Sh'000
2002				
Bank overdrafts	-	-	16,231	16,231
Bank loans	-	-	77,500	77,500
Commercial paper	50,000	3,865	-	3,865
At 31 December 2002	<u>50,000</u>	<u>3,865</u>	<u>93,731</u>	<u>97,596</u>
2001				
Bank overdrafts	-	-	54,404	54,404
Bank loans	-	-	52,962	52,962
Directors' loans	-	-	2,604	2,604
At 31 December 2001	<u>-</u>	<u>-</u>	<u>109,970</u>	<u>109,970</u>

2002	2001
%	%

The average interest rates paid were as follows:

Bank overdrafts	13.71	20.15
Bank loans	11.63	13.74
Commercial paper (USD)	3	-
Directors loans	-	Nil

Details of securities for loans and overdrafts

The general short term banking, letters of credit and foreign currency facilities with Stanbic Bank Kenya Limited are secured by a fixed and floating debenture over all the company's assets for Sh 135,978,000 and a fixed charge on a motor vehicle for USD 240,000.

The overdraft facility, commercial paper and Letter of credit with Credit Agricole Indosuez Limited are secured by a pari passu debenture for Sh 60,000,000 over all the assets of the Company to be increased to Sh 80m and a supplementary charge to the debenture over 23 properties of the company for Sh 80m.

The overdraft and loan facilities with Barclays Bank of Kenya Limited are secured by a legal charge over properties (LR Nos 119, 120, 151, 539, 552, 554, 555, 556, 576, 577, 578, 582, 666, 670 and 672) in Mbwaka/Maereni and debenture of Sh 120m over all the assets of the Company.

The directors' loans are unsecured and interest free.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

15 Deferred income taxes

Deferred income taxes are calculated on all temporary differences under the liability method using the enacted tax rate of 30%.

	2002 Sh'000	2001 Sh'000
The net deferred taxation liability is attributable to the following items:		
Accelerated capital allowances	136,615	141,011
Tax losses carried forward	-	(12,527)
Unrealised exchange losses	88	(65)
Revaluation surplus	19,592	20,224
Leave pay provision	(363)	(114)
	<u>155,932</u>	<u>148,529</u>
The movement on the deferred tax account is as follows:		
At 1 January – as previously reported	150,786	134,792
Reversal of deferred tax relating to revaluation surplus on leasehold land	(1,859)	(1,914)
Reversal of deferred taxation on buildings not previously depreciated	(1,886)	(1,571)
Prior year underprovision – deferred tax	1,488	-
	<u>148,529</u>	<u>131,307</u>
As restated	148,529	131,307
Income tax expense – note 6(a)	7,403	17,222
	<u>155,932</u>	<u>148,529</u>

16 Trade and other payables

Trade payables	271,933	152,793
Other payables and accruals	8,047	7,239
Directors' accounts	478	-
	<u>280,458</u>	<u>160,032</u>

ATHI RIVER MINING LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2002 Sh'000	2001 Sh'000
Notes to the cash flow statement		
(a) Reconciliation of operating profit to cash generated from operations:		
Operating profit	100,958	75,255
Adjustments:		
Depreciation	59,796	58,247
Amortisation	67	67
Loss on disposal of motor vehicles	133	516
Realised exchange gains	360	67
Amortisation of deferred expenditure	4,928	4,928
Operating profit before working capital changes	166,242	139,080
Increase in inventories	(50,928)	(2,001)
Increase in trade and other receivables	(59,222)	(14,693)
Increase in trade and other payables	120,426	234
Cash generated from operations	176,518	122,620
(b) Analysis of balances of cash and cash equivalents		
Cash and bank balances	2,168	5,222
Commercial paper	(3,865)	-
Bank overdrafts	(16,231)	(54,404)
At 31 December	(17,928)	(49,182)
For the purpose of the cash flow statement, cash equivalents include short term liquid investments which are readily convertible to known amounts of cash and which were within three months to maturity when acquired, less advances from banks repayable within three months from the date of advance.		
(c) Loans	2002 Sh'000	2001 Sh'000
At 1 January	55,566	41,813
Repayment	(68,721)	(38,030)
Received	90,000	51,498
Unrealised exchange loss	655	285
	77,500	55,566

ATHI RIVER MINING LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

18 Related parties

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operational decisions.

The following transactions were carried out with related parties:

	2002 Sh'000	2001 Sh'000
(a) Purchase of services:		
Athi River Group Limited	<u>1,800</u>	<u>1,800</u>

There were no outstanding balances in respect of Athi River Group Limited at year end.

Athi River Group Limited owns the head office building which is rented by the company. This company is owned by H J Paunrana and P H Paunrana, who are both directors of the company.

- (b) Cement raw material (clinker) purchases during the year from Bamburi Cement Limited amounted to Sh 194,316,228 (2001 – Sh 162,139,739). The outstanding balance at year end due to Bamburi Cement Limited was Sh 40,837,691 (2001 – Sh 51,583,088). This balance is included under Trade and other payables (note 16). Bamburi Cement Limited is both a shareholder and a director of the company.

	2002 Sh'000	2001 Sh'000
(c) Loans from Directors		
At 1 January	2,604	820
Advances	23,590	15,490
Repayments	<u>(26,194)</u>	<u>(13,706)</u>
At 31 December	<u>-</u>	<u>2,604</u>

Loans from directors are unsecured, interest free with no fixed repayment terms.

- (d) All transactions with related parties are at arm's length and in the normal course of business.

ATHI RIVER MINING LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2002 Sh'000	2001 Sh'000
19 Capital commitments		
Authorised and contracted for	<u>56,629</u>	<u>29,100</u>
Authorised but not contracted for	<u>39,200</u>	<u>62,400</u>
20 Contingent liabilities		
Guarantees	<u>25,950</u>	<u>25,450</u>
21 Incorporation		
The company is a limited liability company registered in Kenya under the Companies Act.		
22 Currency		
The financial statements are presented in Kenya Shillings thousands (Sh'000).		

ATHI RIVER MINING LIMITED

Appendix A

DETAILED INCOME STATEMENT FOR THE YEAR ENDED 31 DECEMBER 2002

	2002 Sh'000	2001 Sh'000
Sales	1,126,385	883,740
Cost of sales (Appendix B)	(776,279)	(602,093)
Gross profit	350,106	281,647
Other operating income (Appendix B)	465	2,643
Distribution costs (Appendix B)	(132,239)	(108,620)
Administration expenses (Appendix C)	(116,769)	(98,669)
Other operating expenses (Appendix C)	(605)	(1,746)
OPERATING PROFIT	100,958	75,255
Finance costs	(18,822)	(24,228)
PROFIT BEFORE TAXATION	82,136	51,027

Appendix B

ATHI RIVER MINING LIMITED

INCOME STATEMENT ANALYSIS
FOR THE YEAR ENDED 31 DECEMBER 2002

	2002 Sh'000	2001 Restated Sh'000
Cost of sales		
Purchases and packing materials	499,988	373,505
Opening inventories	50,943	38,360
Rent and royalties	436	565
	551,367	412,430
Closing inventories	(37,555)	(50,943)
	513,812	361,487
Direct production costs		
Salaries and wages	80,022	63,681
Depreciation	58,418	56,257
Light and water	49,993	49,582
Vehicle running	49,293	45,919
Machinery maintenance	23,018	23,873
Protective clothing	163	-
Laboratory expenses	1,160	627
Kenya Bureau of Standards levy	400	667
	262,467	240,606
Total cost of sales	<u>776,279</u>	<u>602,093</u>
Other operating income		
Miscellaneous income	465	2,643
Distribution costs		
Transport	128,005	105,029
Vehicle running	4,234	3,591
	<u>132,239</u>	<u>108,620</u>

ATHI RIVER MINING LIMITED

Appendix C

INCOME STATEMENT ANALYSIS
FOR THE YEAR ENDED 31 DECEMBER 2002

	2002 Sh'000	2001 Sh'000
Administration expenses		
Salaries and wages	21,075	18,144
Directors emoluments	16,975	14,792
Postage and telephone	9,459	5,947
Rent and rates	4,371	4,196
Insurance	9,133	5,331
Repairs and maintenance	-	2,673
Sales promotion	2,110	478
Professional fees	4,821	3,955
Bank charges	3,420	3,020
Printing and stationery	2,540	3,866
Staff services	7,538	4,780
Miscellaneous	2,606	1,687
Travelling	8,993	5,625
Licences and fees	203	237
Advertising	4,148	8,445
Bad debts	8,026	4,332
Electricity	692	706
Security services	2,090	2,042
Penalties	-	88
Donations	897	422
Subscriptions and periodicals	1,298	918
Depreciation	1,446	2,057
Amortisation of deferred expenditure	4,928	4,928
	<u>116,769</u>	<u>98,669</u>
Other operating expenses		
Loss on disposal of plant and equipment	133	516
Commission	472	1,230
	<u>605</u>	<u>1,746</u>

ATHI RIVER MINING LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

		2002 Sh'000	2001 Sh'000
19	Capital commitments		
	Authorised and contracted for	<u>56,629</u>	<u>29,100</u>
	Authorised but not contracted for	<u>39,200</u>	<u>62,400</u>
20	Contingent liabilities		
	Guarantees	<u>25,950</u>	<u>25,450</u>
21	Incorporation		
	The company is a limited liability company registered in Kenya under the Companies Act.		
22	Currency		
	The financial statements are presented in Kenya Shillings thousands (Sh'000).		

ATHI RIVER MINING LIMITED

FINANCIAL STATEMENTS

31 DECEMBER 2002